



GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2023

COST AND MANAGEMENT ACCOUNTING

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Write short notes on the following:

(10×3=30)

- (a) Explain process costing.
- (b) What are the objectives of Management accounting?
- (c) Define the contribution.
- (d) Essex Company manufactures parts that is used in one of its products. The unit product cost of this part is:

Direct Material	Rs. 9
Direct Labour	Rs. 5
Variable O/H	Rs. 1
Depreciation of Special equipment	Rs. 3
Supervisors salary	Rs.2
General factory O/H	Rs. 10

Unit Product Cost	R.30

Assume there is no resale. The Rs.30 unit product cost is based on 20,000 parts produced each year.

An outside supplier has offered to provide the 20,000 parts at a cost of Rs. 25 per part. Should we accept the supplier's offer on the basis of relevant cost and irrelevant cost only.

- (e) A well designed activity-based costing system starts with an analysis of the activities performed to manufacture a product. This analysis should identify all resource-consuming activities.

In the above context explain activity cost pools and cost drivers.

- (f) Define marginal costing.
- (g) Explain Batch costing with example.
- (h) Define the margin of safety.
- (i) Discuss the managerial use of Variance analysis.
- (j) List the objective of material control.

SECTION-B

(Long Answer Type Questions)

Attempt all the following questions:

(4×10=40)

Q.2. (a) Differentiate between LIFO and FIFO.

OR

(b) Write a detailed note on standard costing.

Q.3. (a) Define the absorption costing and variable costing with example.

OR

(b) Explain the concept of Management Accounting. Also discuss functions of Management Accounting.

Q.4. (a).Describe the methods and techniques of cost accounting

OR

(b) XYZ Manufacturing incurred following cost for a biscuit pack.

Particulars	Rs.
Fixed Factory Overhead Cost	70000
Fixed Selling Overhead Cost	20000
Variable Manufacturing Cost per unit	16
Variable Selling Cost per unit	4
Selling price per unit	25

Calculate-

- BEP in terms of sales value and in units
- Number of units that must be sold to earn a profit of Rs. 95000.

Q.5. (a).Differentiate between cost accounting, management accounting and financial accounting.

OR

(b) Standard cost of a product shows that one unit requires 5 units of raw material cost Rs. 4 each. During a given period 4000 units were produced for which 20250 units of raw materials at a cost of Rs. 101250 were actually used. Compute material cost, price and usage variance. Also verify the result.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) The following information has been obtained from the records of Arpita Co. Ltd. For the year ended 31-03-2022.

Particulars	Rs.
Stock on 1-4-2021:	
Raw Material	40000
Work In Progress	16000
Finished Goods	70000
Stock as on 31.03.2022:	
Raw Material	30000
Work In Progress	20000
Finished Goods	60000
Productive Wages	250000
Depreciation on Machinery	46000
Direct Chargeable Expenses	32000
Factory Rent	50000
Director's Fees	20000
Selling Overhead	25000
General Expenses	15000
Printing & Stationary	10000
Sales	1000000
Underwriting Commission	20000
Purchase of Raw Material	500000

Prepare the statement of Cost Showing:

- Cost of material Consumed
- Prime cost
- Factory cost
- Cost of production
- Cost of goods sold
- Cost of sales
- profit

6(b) Record the following transactions in the store ledger account of ABC Ltd.

18.01.2022	Receipt 250 unit costing Rs. 312.50
25.02.2022	Receipt 100 units costing Rs.130.00
26.03.2022	Receipt 50 units costing Rs.67.50
10.04.2022	Issue 55 units
20.04.2022	Receipt 50 units costing Rs.70
28.04.2022	Issue 300 units
05.05.2022	Issue 40 units

The issue on 10.04.2022 and 28.04.2022 were priced at LIFO & FIFO basis respectively as from 1.5.2022 it was decided to price the issue at Weighted Average price.